We also remind advisers of their fiduciary obligations when engaging in transactions with private fund clients and of their antifraud obligations when engaging with private fund investors. To satisfy its fiduciary duty, an adviser must eliminate or at least expose through full and fair disclosure all conflicts of interest which might incline an investment adviser to provide advice that is not disinterested.[740] Full and fair disclosure should be sufficiently specific so that a client is able to understand the material fact or conflict of interest and make an informed decision whether to provide consent.[741] The disclosure must be clear and detailed enough for the client to make an informed decision to consent to the conflict of interest or reject it.[742] When making disclosures to private fund investors, advisers should also be mindful of their antifraud responsibilities per rule 206(4)-8 under the Advisers Act.

F. Certain Adviser Misconduct

1. Fees for Unperformed Services

We are not adopting the proposed prohibition on charging a portfolio investment for monitoring, servicing, consulting, or other fees in respect of any services the investment adviser does not, or does not reasonably expect to, provide to the portfolio investment.[743] As discussed below, we believe that it is unnecessary for the final rule to prohibit an adviser from charging fees without providing a corresponding service to its private fund client because such activity already is inconsistent with the adviser's fiduciary duty.

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740 *See* 2019 IA Fiduciary Duty Interpretation, *supra* footnote 5, at 23.

741 *See id*.

742 *See id.*, at 25-26.

743 Proposing Release, *supra* footnote at 3, at 136.

Some commenters supported this prohibition.[744] Commenters generally stated that charging fees for unperformed services to the fund is against the public interest and inconsistent with the Advisers Act by placing the interests of the advisers ahead of those of investors.[745] A commenter suggested that because of the substantial conflicts of interest faced by advisers charging fees for unperformed services no amount of disclosure should be enough to enable an investor to provide informed consent to these practices.[746] Another commenter indicated that an adviser should refund prepaid amounts attributable to unperformed services where an adviser is paid in advance for services that it reasonably expects to perform but ultimately does not provide.[747] A commenter expressed concern that advisers have not historically provided enough transparency into certain payments, such as monitoring fees.[748]

Other commenters opposed this prohibition for several reasons. First, commenters stated that this prohibition may be unnecessary because it is generally market practice for fund documents to prohibit advisers from charging fees for unperformed services or, less commonly, to disclose such practices.[749] Second, a commenter indicated that certain advisers may structure fee arrangements based on the value expected to be created, rather than based on a time-worked

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744 Comment Letter of Eileen Appelbaum and Jeffrey Hooke (Mar. 17, 2022); Comment Letter of Senators Sherrod Brown and Jack Reed (Aug. 4, 2022) ("Senators Brown and Reed Comment Letter"); Trine Comment Letter; AFREF Comment Letter I; OPERS Comment Letter; Morningstar Comment Letter; ILPA Comment Letter I; For The Long Term Comment Letter; Healthy Markets Comment Letter I; Predistribution Initiative Comment Letter II; NYSIF Comment Letter.

745 Morningstar Comment Letter; Healthy Markets Comment Letter I.

746 Senators Brown and Reed Comment Letter.

747 ILPA Comment Letter I.

748 *See generally* AFREF Comment Letter I.

749 *See* SIFMA-AMG Comment Letter I; Invest Europe Comment Letter; *see generally* Dechert Comment Letter.

model.[750] Third, a commenter expressed concerns that the "reasonably expect" standard is inappropriate because of the risk that advisers would be second-guessed afterwards.[751]

Fees for unperformed services may incentivize an adviser to cause a private fund to exit a portfolio investment earlier than anticipated. We stated in the proposal that such fees may cause an adviser to seek portfolio investments for its own benefit rather than for the private fund's benefit.[752] In addition, we noted that such fees have the potential to distort the economic relationship between the private fund and the adviser because the adviser receives the benefit of such fees, at the expense of the fund, without incurring any costs associated with having to provide any services.

We believe that charging a client fees for unperformed services (including indirectly by charging fees to a portfolio investment held by the fund) where the adviser does not, or does not reasonably expect to, provide such services is inconsistent with an adviser's fiduciary duty.[753] Typically by its nature charging a client fees for unperformed services, directly or indirectly, involves a misrepresentation or an omission of a material fact, whether in the private fund's offering memorandum or otherwise, regarding the amount being charged to the client, directly or indirectly, by the adviser or the adviser's related person, the nature of the services being provided by the adviser or the adviser's related person, or both. An adviser's fiduciary duty under the Advisers Act comprises a duty of care and a duty of loyalty. This fiduciary duty

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750 AIC Comment Letter I.

751 Dechert Comment Letter.

752 *See* Proposing Release, *supra* footnote 3, at 137.

753 We proposed to adopt this rule under sections 206 and 211 of the Advisers Act. Proposing Release, *supra* footnote 3, at 134. *See also* 2019 IA Fiduciary Duty Interpretation, *supra* footnote 5, at 1 and n.2-3 (discussing an adviser's fiduciary duty under Federal law).

requires an adviser "to adopt the principal's goals, objectives, or ends."[754] This means the adviser must, at all times, serve the best interest of its client and not subordinate its client's interest to its own.[755] In other words, the adviser cannot place its own interests ahead of its client's interests. Because charging fees without providing or reasonably expecting to provide a corresponding service to its private fund client, in our view, would cause the adviser to place its own interests ahead of its client's interests, as more fully described in the paragraph below, we have determined that it is unnecessary to prohibit activity that is already indirectly inconsistent with the adviser's fiduciary duty.[756] Thus, we are not adopting the rule as originally proposed. Commenters' statements that it is generally market practice for fund documents to prohibit advisers from charging fees for unperformed services may suggest that market participants are acting consistent with the adviser's fiduciary duty and that private fund advisers do not engage in these compensation practices.

Previously, we have charged advisers for violating section 206(2) of the Advisers Act when improperly charging monitoring, servicing, consulting, or other fees, which may accelerate upon the occurrence of certain events, to a portfolio investment.[757] These fees reduce the value of the fund's portfolio investment, which, in turn, reduces the amount available for distribution to the fund's investors. Because the adviser or its related person receives these fees, it faces a

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754 *See* 2019 IA Fiduciary Duty Interpretation, *supra* footnote 5, at 7-8.

755 *See* 2019 IA Fiduciary Duty Interpretation, *supra* footnote 5, at n.58.

756 Section 206(1) and section 206(2) of the Advisers Act. Depending on the facts and circumstances, we believe that this conduct may also violate other Federal securities laws, rules, and regulations, such as rule 206(4)-8, which prohibits advisers to pooled investment vehicles from, among other things, defrauding investors or prospective investors.

757 *See, e.g.*, *In the Matter of THL Managers V, LLC and THL Managers VI, LLC*, Investment Advisers Act Release No. 4952 (June 29, 2018) (settled action); *In the Matter of TPG Capital Advisors, LLC*, Investment Advisers Act Release No. 4830 (Dec. 21, 2017) (settled action); *In the Matter of Apollo Management V, L.P., et al.*, Investment Advisers Act Release No. 3392 (Aug. 23, 2016) (settled action); *In the Matter of Blackstone*, *supra* footnote 26.

significant conflict of interest and cannot effectively consent on behalf of the fund. The conflict of interest from these fee arrangements can lead an adviser in other ways to act to serve its interest over its client's interest, in breach of its fiduciary duty. For example, fees for unperformed services may incentivize an adviser to cause a private fund to exit a portfolio investment earlier than anticipated or cause an adviser to seek portfolio investments for its own benefit rather than for the private fund's benefit. If the adviser reasonably expects to provide services to a portfolio investment, the adviser may attempt to provide full and fair disclosure to all investors or a group representing all investors, such as a fund board or an LPAC.[758] But, in some instances, disclosure may be insufficient. We have long brought enforcement actions based on the view that an adviser, as a fiduciary, may not keep prepaid advisory fees for services that it does not, or does not reasonably expect to, provide to a client.[759] And an adviser cannot do indirectly what it is not permitted to do directly.[760] Thus, where the adviser does not, or does not reasonably expect to, provide services to the portfolio investment, the adviser would be violating its fiduciary duty by using its position to extract payments indirectly from a fund, through a portfolio investment.

Under our interpretation, an adviser could receive payment for services actually provided. An adviser could also receive payments in advance for services that it reasonably expects to provide to the portfolio investment in the future, whether such arrangements are based on a time-

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758 Advisers that are subject to the quarterly statement rule discussed above will also need to disclose these amounts in the quarterly statement provided to investors, to the extent such compensation meets the definition of portfolio-investment compensation.

759 *See Jason Baker Tuttle, Sr.*, Initial Decision Release No. 13 (Jan. 8, 1990); *Monitored Assets Corp*., Investment Advisers Act Release No. 1195 (Aug. 28, 1989) (settled order); *In the Matter of Beverly Hills Wealth Mgmt., LLC*, Investment Advisers Act Release No. 4975 (July 20, 2018) (settled order).

760 Section 208(d) of the Advisers Act.

worked model (*i.e.*, where fees are determined based on a fixed dollar amount and the amount of time worked) or a value-add model (*i.e.*, where the fees are determined based on the value contributed by the adviser's services).[761] For example, if an adviser expects to provide monitoring services to a portfolio investment, the adviser is not prohibited from charging for those services. Rather, an adviser is not permitted to charge for services that it does not reasonably expect to provide. Further, to the extent that the adviser ultimately does not provide the services, the adviser would need to refund any prepaid amounts attributable to unperformed services.

2. Limiting or Eliminating Liability

We proposed to prohibit an adviser to a private fund, directly or indirectly, from seeking reimbursement, indemnification, exculpation, or limitation of its liability by the private fund or its investors for a breach of fiduciary duty, willful misfeasance, bad faith, negligence, or recklessness in providing services to the private fund ("waiver or indemnification prohibition").[762] As discussed further below, we are not adopting this prohibition, in part, because we believe that it is not necessary to achieve our goal to address this problematic practice. Rather, we discuss below our views on how an adviser's fiduciary duty applies to its private fund clients and how the antifraud provisions apply to the adviser's dealings with clients and fund investors.

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[761] *See* AIC Comment Letter I (stating that "[i]f monitoring fees are charged based on the deal size, periodic payments instead of a lump sum payment can provide the portfolio company with liquidity management by spreading the costs over time, even though the services and resulting value creation may not correspond to the same time period of payments.").

[762] Proposed rule 211(h)(2)-1(a)(5).

Some commenters supported this prohibition[763] stating that the prohibition is necessary to protect private fund investors, address the increasing erosion of private fund advisers' fiduciary duties,[764] and save investors time and legal fees when negotiating fund documents.[765] One commenter that represents several limited partners and historically advocated for increased protections regarding fiduciary terms[766] supported allowing indemnification for an adviser's simple negligence but maintaining the proposed prohibition on indemnification for simple negligence in scenarios where there is a material breach of the limited partnership agreement and side letters.[767] Some commenters suggested narrowing this provision to align with the Commission's statement in the 2019 IA Fiduciary Duty Interpretation, instead of adopting a broader prohibition that, according to commenters, would implicate State and local law.[768]

In contrast, most commenters opposed it.[769] Some commenters stated that the proposed prohibition would increase costs for investors[770] (including through insurance premiums, higher management fees, and revising existing agreements),[771] increase the threat of private litigation,[772]

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763 *See, e.g.*, Comment Letter of Phil Thompson (Mar. 8, 2022) ("Thompson Comment Letter"); OPERS Comment Letter; CalPERS Comment Letter; Morningstar Comment Letter.

764 *See, e.g.*, NYC Comptroller Comment Letter; OPERS Comment Letter; Thompson Comment Letter; Better Markets Comment Letter.

765 *See* NACUBO Comment Letter.

766 *See* ILPA Letter to Chairman Gensler (Apr. 21, 2021).

767 *See* ILPA Comment Letter I.

768 *See* Invest Europe Comment Letter; MFA Comment Letter I.

769 *See, e.g.*, SBAI Comment Letter; Thin Line Capital Comment Letter; ATR Comment Letter; ILPA Comment Letter I; Chamber of Commerce Comment Letter; Comment Letter of Real Estate Roundtable Comment Letter (Apr. 25, 2022); CVCA Comment Letter; AIMA/ACC Comment Letter.

770 *See, e.g.*, Chamber of Commerce Comment Letter; MFA Comment Letter I.

771 *See, e.g.*, Schulte Comment Letter; Comment Letter of Real Estate Board of New York (Apr. 21, 2022) ("REBNY Comment Letter"); CVCA Comment Letter.

772 *See, e.g.*, Invest Europe Comment Letter; Schulte Comment Letter; MFA Comment Letter I.

and cause advisers to take less risk, which could result in lower investor returns and fewer available strategies.[773] Many commenters stated that the proposed prohibition would result in more onerous liability standards for sophisticated investors than for retail investors and that such a difference would result in better protection for institutional investors than for investors in retail products.[774]

After considering comments, we are not adopting this prohibition, in part, because we believe that it is not needed to address this problematic practice. Rather, we are reaffirming and clarifying our views on how an adviser's fiduciary duty applies to its private fund clients and how the antifraud provisions apply to the adviser's dealings with clients and fund investors. We remind advisers of their obligation to act consistently with their Federal fiduciary duty and their legal obligations under the Advisers Act, including the antifraud provisions.[775] A waiver of an adviser's compliance with its Federal antifraud liability for breach of its fiduciary duty to the private fund or otherwise, or of any other provision of the Advisers Act, or rules thereunder, is invalid under the Act.[776]

An adviser's Federal fiduciary duty is to its clients and the obligations that flow from the adviser's fiduciary duty depend upon what functions the adviser, as agent, has agreed to assume

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773 *See, e.g.*, TIAA Comment Letter; SIFMA-AMG Comment Letter I; ILPA Comment Letter I; AIC Comment Letter I; NYC Bar Comment Letter II.

774 *See, e.g.*, Invest Europe Comment Letter; Schulte Comment Letter; SBAI Comment Letter; SIFMA-AMG Comment Letter I; AIC Comment Letter I; MFA Comment Letter I; AIMA/ACC Comment Letter.

775 *See* 2019 IA Fiduciary Duty Interpretation, *supra* footnote 5; section 206 of the Advisers Act.

776 *See* section 215(a) of the Advisers Act; 2019 IA Fiduciary Duty Interpretation, *supra* footnote 5, at n.29 (stating that an adviser's Federal fiduciary obligations are enforceable through section 206 of the Advisers Act and that the SEC would view a waiver of enforcement of section 206 as implicating section 215(a) of the Advisers Act. Section 215(a) of the Advisers Act provides that any condition, stipulation or provision binding any person to waive compliance with any provision of the title shall be void.). *See* section 215(b) of the Advisers Act (stating that any contract made in violation of the Act or rules thereunder is void).

for the client, its principal.[777] In addition, full and fair disclosure for an institutional client (including the specificity, level of detail, and explanation of terminology) can differ, in some cases significantly, from full and fair disclosure for a retail client because institutional clients generally have a greater capacity and more resources than retail clients to analyze and understand complex conflicts and their ramifications.[778] Regardless of the nature of the client, the disclosure must be clear and detailed enough for the client to make an informed decision to consent to the conflict of interest or reject it. Accordingly, while the fiduciary duty itself applies to all clients of an adviser, the application of the fiduciary duty of an adviser to a retail client can be different from the specific application of the fiduciary duty of an adviser to a registered investment company or private fund.[779] Whether contractual clauses that purport to limit an adviser's liability (also known as "hedge clauses" or "waiver clauses") in an agreement with an institutional client (*e.g.*, private fund) would violate the Advisers Act's antifraud provisions will be determined based on the particular facts and circumstances.[780] To the extent that a hedge clause creates a conflict of interest between an adviser and its client, the adviser must address the conflict as required by its duty of loyalty.

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[777] *See* 2019 IA Fiduciary Duty Interpretation, *supra* footnote 558, at section I (reaffirming and clarifying the fiduciary duty that an adviser owes to its clients under section 206 of the Advisers Act).

[778] *See id*. and accompanying text.

[779] *See* 2019 IA Fiduciary Duty Interpretation, *supra* footnote 5, at n.87. *See also In the Matter of Comprehensive Capital Management, Inc.*, Investment Advisers Act Release No. 5943 (Jan. 11, 2022) (settled action) (alleging adviser included in its investment advisory agreement liability disclaimer language (*i.e.*, a hedge clause), which could lead a client to believe incorrectly that the client had waived a non-waivable cause of action against the adviser provided by State or Federal law. Most, if not all, of the adviser's clients were retail investors.).

[780] *See* 2019 IA Fiduciary Duty Interpretation, *supra* footnote 5, at n.31 (discussing the now-withdrawn Heitman no-action letter that analyzed an indemnification provision in an institutional client's investment management agreement).

After considering comments on the waiver or indemnification prohibition, we provide the following examples, partly based on staff observations, of how this interpretation applies to certain facts and circumstances. We have taken the position that an adviser violates the antifraud provisions of the Advisers Act, for example, when (i) there is a contract provision waiving any and all of the adviser's fiduciary duties or (ii) there is a contract provision explicitly or generically waiving the adviser's Federal fiduciary duty, and in each case there is no language clarifying that the adviser is not waiving its Federal fiduciary duty or that the client retains certain non-waivable rights (also known as a "savings clause").[781] A breach of the Federal fiduciary duty may involve conduct that is intentional, reckless, or negligent.[782] Finally, we believe that an adviser may not seek reimbursement, indemnification, or exculpation for breaching its Federal fiduciary duty because such reimbursement, indemnification, or exculpation would operate effectively as a waiver, which would be invalid under the Act.[783]

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781 *In the Matter of Comprehensive Capital Management.*, Investment Advisers Act Release No. 5943 (Jan. 11, 2022) (settled action). Also, we note that our staff has expressed the view that it would violate the antifraud provisions of the Advisers Act for an adviser to enter into a limited partnership agreement stating that the adviser to the private fund or its related person, which is the general partner of the fund, to the maximum extent permitted by applicable law, will not be subject to any duties or standards (including fiduciary or similar duties or standards) existing under the Advisers Act or that the adviser can receive indemnification or exculpation for breaching its Federal fiduciary duty. *See, e.g.*, EXAMS Risk Alert: Observations from Examinations of Private Fund Advisers (Jan. 27, 2022), at 5 (discussing hedge clauses).), *available at* https://www.sec.gov/files/private-fund-risk-alert-pt-2.pdf. *See also* Comment Letter of the Institutional Limited Partners Association on the Proposed Commission Interpretation Regarding Standard of Conduct for Investment Advisers; Request for Comment on Enhancing Investment Adviser Regulation (Aug. 6, 2018) at 6, *available at* https://ilpa.org/wp-content/uploads/2018/08/ILPA-Comment-Letter-on-SEC-Proposed-Fiduciary-Duty-Interpretation-August-6-2018.pdf.

782 *See, e.g.*, 2019 IA Fiduciary Duty Interpretation, *supra* footnote 5, at n.20 (explaining that claims arising under Section 206(1) of the Advisers Act require a showing of scienter but claims under Section 206(2) of the Advisers Act are not scienter based and can be adequately pled with only a showing of negligence).

783 *See supra* section II.E.2.a) (Investigation Expenses) (stating that charging fees and expenses related to a breach of an adviser's Federal fiduciary duty to a private fund would effectively operate as a waiver of such duty, which would be invalid under the Act).